Category
Analyzing Balance Sheets

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NON-CURRENT LIABILITIES

Learning Outcome

- explain the financial reporting and disclosures related to non-current liabilities

All liabilities that are not classified as current are considered to be non-current or long-term. Exhibit 8 and Exhibit 9 present balance sheet excerpts for SAP Group and Apple Inc. showing the line items for the companies' non-current liabilities.

Both companies' balance sheets show non-current unearned revenue (deferred income for SAP Group and deferred revenue for Apple). These amounts represent unearned revenue relating to goods and services expected to be delivered in periods beyond 12 months following the reporting period. The sections that follow focus on two common types of non-current (long-term) liabilities: long-term financial liabilities and deferred tax liabilities.

Exhibit 8:

SAP Group Consolidated Statements of Financial Position (Excerpt: Non-Current Liabilities Detail) (in millions of euros)

	As of 31 December	
	2017	2016
Assets		
Total current assets	11,930	11,564
Total non-current assets	30,567	32,713
Total assets	42,497	44,277
Financial liabilities (current)	1,561	1,813
Total current liabilities	10,210	9,674
Trade and other payables	119	127
Tax liabilities	470	365
Financial liabilities	5,034	6,481
Other non-financial liabilities	503	461
Provisions	303	217
Deferred tax liabilities	240	411
Deferred income	79	143
Total non-current liabilities	6,747	8,205
Total liabilities	16,958	17,880
Total equity	25,540	26,397
Total equity and liabilities	EUR42,497	EUR44,277

Source: SAP Group 2017 annual report.

Exhibit 9:

Apple Inc. Consolidated Balance Sheet (Excerpt: Non-Current Liabilities Detail)* (in millions of US dollars)

Total assets	375,319	321,686
Liabilities and shareholders' equity		
Total current liabilities	100,814	79,006
Deferred revenue, non-current	2,836	2,930
Long-term debt	97,207	75,427
Other non-current liabilities	40,415	36,074
[Total non-current liabilities]	*140,458*	*114,431*
Total liabilities	241,272	193,437
Total shareholders' equity	134,047	128,249
Total liabilities and shareholders' equity	375,319	321,686

Note: The italicized subtotals presented in this excerpt are not explicitly shown on the face of the financial statement as prepared by the company.

Source: Apple Inc. 2017 annual report (Form 10K).

Long-Term Financial Liabilities

Typical long-term financial liabilities include loans (i.e., borrowings from banks) and notes or bonds payable (i.e., fixed-income securities issued to investors). Liabilities such as loans payable and bonds payable are usually reported at amortized cost on the balance sheet. At maturity, the amortized cost of the bond (carrying amount) will be equal to the face value of the bond. For example, if a company issues USD10,000,000 of bonds at par value, the bonds are reported as a long-term liability of USD10 million. The carrying amount (amortized cost) from the date of issue to the date of maturity remains at USD10 million. As another example, if a company issues USD10,000,000 of bonds at a price of 97.50 percent of par value (a discount to par), the bonds are reported as a liability of USD9,750,000 at issue date. Over the bond's life, the discount of USD250,000 is amortized so that the bond will be reported as a liability of USD10,000,000 at maturity. Similarly, any bond premium would be amortized for bonds issued at a price in excess of par value.

In certain cases, liabilities such as bonds issued by a company are reported at fair value. Those cases include financial liabilities held for trading, derivatives that are a liability to the company, and some non-derivative instruments, such as those which are hedged by derivatives.

SAP's balance sheet in Exhibit 8 shows EUR5,034 million in financial liabilities, and the notes disclose that these liabilities are mostly for bonds payable. Apple's balance sheet in Exhibit 9 shows USD97,207 million in long-term debt, and the notes disclose that this debt includes floating- and fixed-rate notes with varying maturities.

Deferred Tax Liabilities

Deferred tax liabilities result from temporary timing differences between a company's income as reported for tax purposes (taxable income) and income as reported for financial statement purposes (reported income). Deferred tax liabilities result when taxable income, and the actual income tax payable in a period based on it, is less than the reported financial statement income before taxes and the income tax expense based on it. Deferred tax liabilities are defined as the amounts of income taxes payable in future periods in respect of taxable temporary differences.[8] In contrast, in the previous discussion of unearned revenue, inclusion of revenue in taxable income in an earlier period created a deferred tax asset (essentially prepaid tax).

Deferred tax liabilities typically arise when some expenses are included in taxable income in earlier periods than for financial statement net income. This results in taxable income being less than income before taxes in the earlier periods. As a result, taxes payable based on taxable income are less than income tax expense based on accounting income before taxes. The difference between taxes payable and income tax expense results in a deferred tax liability—for example, when companies use accelerated depreciation methods for tax purposes and straight-line depreciation methods for financial statement purposes.

SAP's balance sheet in Exhibit 8 shows EUR240 million of deferred tax liabilities. Apple's balance sheet in Exhibit 9 does not show a separate line item for deferred tax liabilities; however, note disclosures indicate that most of the USD40,415 million of other non-current liabilities reported on Apple's balance sheet represents deferred tax liabilities, which totaled USD31,504 million.

Non-current liabilities will be explored in greater detail in a later learning module.

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